2024 FEDERAL TAX RETURN | REVIEW WORKPAPERS

Robert & Lisa Smith

WP-1 | Executive review

Return basis: Married filing jointly; calendar year 2024; three qualifying children. Prepared from the 15 supplied PDFs and the assumptions below. Whole-dollar rounding is used on the return.

Draft federal result	Amount
Adjusted gross income	$360,946
Taxable income	$331,703
Total tax	$58,571
Payments and refundable credits	$43,192
Balance due, before any estimated-tax penalty	**$15,379**

Review draft, not filing authorization. The accompanying PDF contains line-numbered review facsimiles, not IRS-approved paper substitute forms or an e-file transmission. Transfer approved amounts into firm tax software. The W-2 reporting and paid-preparer due diligence issues below must be cleared before filing.

Priority review actions

1. Lisa W-2, box 12a: $26,406.43 is shown without a code. Box 1 is carried as supplied; no excess elective deferral is assumed. Obtain the missing code, plan type and catch-up facts. Lisa was age 48, so the ordinary $23,000 elective deferral limit may be relevant. Do not infer a valid special catch-up from the amount alone.

2. Paid-preparer diligence: Complete Form 8867 and firm retention documentation. Confirm children's citizenship/residency and employment-valid SSNs, no competing claims and no prior credit disallowance requiring Form 8862. No interviews or eligibility certifications are represented as completed.

3. Deduction election: The draft elects the $29,200 standard deduction. Known itemized deductions total $28,727. Evaluate Texas optional general sales-tax tables before approval; a sales-tax deduction over $473 could make itemizing preferable.

4. Broker reporting: Lisa's $468.41 wash-sale disallowance is included as reported despite an overall gain. Verify that the entry is valid at the lot level; do not remove a payer-reported adjustment without support.

5. Underpayment exposure: Two estimated payments were made after their quarterly due dates, and 2023 tax is unavailable. Line 38 is blank; the IRS may calculate a penalty. No Form 2210 election or waiver is made.

Baseline assumptions

No unreported income, prior-year capital/REIT loss carryovers, prior-year overpayment applied, IP PINs or dependent care benefits. Dividends satisfy qualified-dividend and section 199A holding periods; foreign taxes qualify for the small-tax election. Teacher expenses are unreimbursed and eligible; care permits both spouses to work. No foreign trust activity. Signatures, firm information and preparer PTIN remain blank.

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Wages, interest & dividends

WP-2 | Source reconciliation

Forms W-2

Recipient / employer	Box 1 wages	Box 2 FIT	Box 3 SS wages	Box 4 SS tax
Bob - Companix	132,465.05	9,642.23	132,465.05	8,212.83
Bob - Zixbo Services Group Inc.	102,468.69	7,465.85	102,468.69	6,353.06
Lisa - Compress Middle School	92,068.87	8,286.20	118,475.30	7,345.47
Total	327,002.61	25,394.28	353,409.04	21,911.36

W-2 detail	Companix	Zixbo	School
Employer EIN	12-1234567	12-1234568	33-3213213
Box 5 Medicare wages	132,465.05	102,468.69	118,475.30
Box 6 Medicare tax	1,920.74	1,485.80	1,717.89
Box 12a	Blank	Blank	26,406.43; code missing
Box 12b	Blank	Blank	DD: 57,342.01
Box 13 retirement plan	Not checked	Not checked	Checked
Box 10 dependent care	Blank	Blank	Blank

W-2 totals carried: wages $327,003; federal withholding $25,394; Medicare wages $353,409. DD health coverage is informational, not taxable income or an additional deductible payment. Lisa's box 5 less box 1 equals $26,406.43, matching the uncoded box 12a amount.

Interest and dividends

Source / recipient	Source amount	Return treatment
TX Lending Company 1099-INT - Bob	107.88	Schedule B interest: 108
Yellow Rose Bank 1099-INT - Bob	39.99	Schedule B interest: 40
Yellow Rose Bank 1099-INT - Lisa	968.22	Schedule B interest: 968
Total taxable interest	1,116.09	Form 1040 line 2b: 1,116
Yellow Rose Bank 1099-DIV - Lisa: box 1a	6,744.05	Form 1040 line 3b: 6,744
Box 1b qualified dividends	4,897.86	Form 1040 line 3a: 4,898 (included in 1a)
Box 5 section 199A dividends	214.79	Form 8995: 215 (included in 1a)
Box 7 foreign tax paid; country VARIOUS	211.05	Schedule 3 line 1: 211

No interest penalties, tax-exempt interest, capital gain distributions or investment withholding are shown. Recipient masked SSNs were reconciled to the full SSNs in the intake.

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Capital gains & tax

WP-3 | Investment gains and rate computation

Disposition	Proceeds	Basis	Wash sale	Net
Bob: 11 shares EXSTCK 03/08/24 - 07/06/24; covered short-term	56.78	6,750.88	0	(6,694.10)
Lisa: 18 shares BLU-FOR CORP 04/08/19 - 08/25/24; covered long-term	43,877.03	11,268.00	468.41	33,077.44
Net capital gain				26,383.34

Both Forms 1099-B show basis reported to the IRS. Short-term sale is voluntarily detailed on Form 8949 box A and Schedule D line 1b. Long-term sale is on Form 8949 box D, code W (+$468), and Schedule D line 8b. No loss carryovers are assumed.

Qualified Dividends and Capital Gain Tax Worksheet

Worksheet line(s)	Computation / description	Amount
1	Taxable income	331,703
2	Qualified dividends	4,898
3	Smaller of Schedule D lines 15 and 16	26,383
4	Preferential income: 2 + 3	31,281
5	Ordinary taxable income: 1 - 4	300,422
6 / 7 / 8	0% joint threshold / smaller(1,6) / smaller(5,7)	94,050 each
9	0% portion: 7 - 8	0
10 / 11 / 12	Smaller(1,4) / line 9 / difference	31,281 / 0 / 31,281
13 / 14	15% joint threshold / smaller(1,13)	583,750 / 331,703
15 / 16 / 17	5 + 9 / 14 - 15 / smaller(12,16)	300,422 / 31,281 / 31,281
18	15% tax: 31,281 x .15	4,692.15
19 / 20 / 21	0% + 15% amounts / remaining / 20% tax	31,281 / 0 / 0
22	Tax on ordinary income, line 5	58,186.28
23	Total preferential-rate calculation	62,878.43
24	Tax on all taxable income at ordinary rates	65,693.72
25	Smaller of lines 23 and 24; Form 1040 line 16	**62,878**

Ordinary tax on $300,422: $2,320 + $8,532 + $23,485 + 24% x ($300,422 - $201,050) = $58,186.28. Schedule D lines 18 and 19 are zero, so this worksheet, not the Schedule D Tax Worksheet, applies.

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Deductions

WP-4 | Deductions and minimum-tax screening

Adjustment to income	Paid / reported	Allowed
Lisa eligible educator expenses	About 730.00	300
Lisa student loan interest, Form 1098-E	4,312.00	0 - MAGI exceeds 195,000 joint ceiling
Total Schedule 1 adjustments		300

Itemized versus standard deduction

Known itemized item	Source amount	Potential Schedule A amount
Real estate taxes (Form 1098 box 10)	6,748.32	6,748
Qualified mortgage interest (Form 1098 box 1)	17,678.69	17,679
Red Cross cash donation, September	2,500.00	2,500
Church cash contributions: 150 x 12	1,800.00	1,800
Qualified LTC premiums, age-limited	11,000.00 paid	0 after medical AGI floor
Known itemized total	28,727.01	28,727
Standard deduction elected	29,200.00	29,200

Sales-tax option: No actual sales taxes or table amount were supplied. Texas has no individual income tax; optional general sales-tax tables may be used if substantiated by the applicable table computation. Any allowed sales tax above $472.99 would make itemizing larger; combined deductible state/local taxes remain capped at $10,000. Do not treat this draft election as an optimization conclusion.

Mortgage: $565,774 outstanding; originated 05/06/2020, residence address matches intake. Assumed qualified home-acquisition debt below the $750,000 joint limit. **Charity:** obtain contemporaneous acknowledgments and payment records before using an itemized deduction.

LTC: Bob age 50 and Lisa age 48 at 12/31/2024. Maximum potentially eligible premium is $880 each = $1,760, assuming tax-qualified policies. Medical floor is 7.5% x $360,946 = $27,070.95. With no other medical costs, no Schedule A medical deduction results. The insurer's letter uses ZIP 78523; intake 78253 controls.

Section 199A and AMT review

QBI: REIT dividends $215 x 20% = $43. Taxable income before QBI is $331,746. Income limitation: ($331,746 - $31,281 net capital gain plus qualified dividends) x 20% = $60,093. Allowed deduction is $43; no QBI/PTP carryover assumed.

AMT: $331,703 taxable income + $29,200 standard deduction = $360,903 AMTI. Less $133,300 joint exemption = $227,603. Ordinary AMT base $196,322 x 26% = $51,043.72; preferred-income tax $4,692.15; tentative minimum tax before foreign credit $55,735.87. Even before the foreign credit this is below regular tax of $62,878; AMT is $0. No Form 6251 filing trigger is established.

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Children & credits

WP-5 | Credit eligibility and limitation worksheets

Dependent	Birth date / age at 12/31/24	Residence / relationship	CTC
Robert Smith III	04/07/2018 / 6	All year / son	2,000
Melissa Smith	04/07/2018 / 6	All year / daughter	2,000
Judith Smith	06/09/2010 / 14	All year / daughter	2,000

Intake states parents provided more than half of support, no custody/divorce entitlement, and no one else can claim either spouse. For this draft, each child is assumed not to have provided over half of own support, not to file a disqualifying joint return, and to satisfy citizenship/residency and SSN timing/validity requirements. These assumptions require paid-preparer verification.

Child tax credit / Schedule 8812

Worksheet	Amount
Three qualifying children x $2,000	6,000
Modified AGI / joint phaseout threshold	360,946 / 400,000
Phaseout reduction	0
Credit Limit Worksheet A: Form 1040 line 18 less Schedule 3 credits	62,878 - 539 = 62,339
Credit allowed / additional child tax credit	6,000 / 0

Child care credit / Form 2441

Qualified child / monthly pattern	Amount
Robert: four payments x $75 + eight x $65	820
Melissa: four payments x $75 + eight x $65	820
Judith: six payments x $55 + six x $45; excluded due to age 14	600
Total provider payments / qualified payments	2,240 / 1,640
Taxpayer earned income / spouse earned income	234,934 / 92,069
Eligible expenses below $6,000 cap; applicable rate 20%	1,640 x 20% = 328
Tax liability limit: Form 1040 line 18 less foreign tax credit	62,878 - 211 = 62,667
Allowed credit, Schedule 3 line 2	328

Provider: Children First Child Care Center of Texas, 777 Childcare Way, Dallas, TX 75211; EIN 45-4564564. No employer dependent care benefits. Expenses are assumed paid for work-related care rather than tuition; Judith is not reported as unable to care for herself.

Foreign tax credit election

$211.05 of foreign taxes on the Form 1099-DIV rounds to $211. The draft elects to claim directly on Schedule 3 without Form 1116: assumed all foreign income is qualified passive income reported on a payee statement, all taxes are legally owed, and total qualified foreign taxes are within the $600 joint threshold. No foreign tax credit carryback or carryforward is used.

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Payments & other taxes

WP-6 | Taxes, payment timing and balance due

Additional taxes

Tax	Calculation	Return
Additional Medicare Tax	353,409.04 combined Medicare wages - 250,000 = 103,409.04; x .009 = 930.68136	931
Additional Medicare withholding	Box 6 total 5,124.43 less 1.45% x 353,409.04 = 0	0
Net investment income tax	1,116.09 interest + 6,744.05 ordinary dividends + 26,383.34 gains = 34,243.48; x .038 = 1,301.25224	1,301
NIIT excess-MAGI limit	360,946 - 250,000 = 110,946; exceeds NII, so does not limit tax	
Schedule 2 other taxes		2,232

Payments and credits

Payment	Date / period	Amount
W-2 federal withholding	2024 aggregate	25,394.28
Estimated federal tax	04/02/2024 - Q1	3,380.00
Estimated federal tax	07/04/2024 - Q2	3,275.00
Estimated federal tax	10/02/2024 - Q3	3,455.00
Estimated federal tax	01/05/2025 - Q4 of 2024	3,575.00
Total estimates	Form 1040 line 26	13,685.00
Bob excess social security	8,212.83 + 6,353.06 - 10,453.20	4,112.69
Total payments, rounded	25,394 + 13,685 + 4,113	43,192

2024 social security wage base is $168,600; maximum employee tax is $10,453.20. Bob's excess results from two employers; claim on Schedule 3 line 11. Do not include Lisa's withholding in Bob's calculation. No other refundable credits are claimed.

Underpayment review

Calendar-year installment due dates were April 15, June 17 and September 16, 2024, and January 15, 2025. The July 4 and October 2 payments were late for their respective quarters. The supplied schedule's actual dates have been preserved.

2023 AGI and total tax were not provided; the 100% / 110% prior-year safe harbor cannot be tested. No annualized-income, uneven-withholding, waiver or other mandatory Form 2210 attachment condition is established. Under the default IRS-calculation approach, no Form 2210 is attached and Form 1040 line 38 is left blank, not asserted to be zero. Obtain 2023 data if the firm elects to compute the penalty.

Balance check: $62,878 regular income tax - $6,000 child tax credit - $539 Schedule 3 credits + $2,232 other taxes = $58,571. Less $43,192 payments = **$15,379 due**, before penalty. Client requested no direct deposit; none is entered.

Return package index

WP-7 | Filing assembly and release control

Return PDF page(s)	Form / schedule	Purpose
1-2	Form 1040	Joint individual return
3-4	Schedule 1	$300 educator expense adjustment
5-6	Schedule 2	Additional Medicare and NIIT
7-8	Schedule 3	Foreign/care credits; excess social security payment
9	Schedule B	Ordinary dividends above $1,500; taxable interest detail
10-11	Schedule D	Short- and long-term capital gains
12-13	Form 8949	Covered stock sale detail, including wash adjustment
14	Schedule 8812, Part I	Three child tax credits; no ACTC pages needed
15	Form 2441, Parts I-II	Child care credit; no benefit-exclusion part needed
16	Form 8995	Section 199A dividend deduction
17	Form 8867 - OPEN draft	Paid-preparer due diligence; replace with completed form
18	Form 8959	Additional Medicare Tax
19	Form 8960	Net investment income tax

Not filed as attachments

These workpapers, the QD/capital gain tax worksheet, comparison Schedule A amounts, AMT screening, source 1098/1099 documents and client intake are retained in the file. No Schedule A is filed under the standard deduction election. No Forms 1116, 6251, 2210, 8862 or refundable ACTC pages are filed under the stated assumptions. Form 8949 short-term detail is included voluntarily.

E-file implementation checklist

[ ] Resolve Lisa's W-2 box 12a code and any excess deferral wage inclusion; enter all W-2 records in e-file software. Source W-2s remain required data records even though not PDF filing attachments.

[ ] Complete and retain CTC eligibility inquiries and the official Form 8867. Determine whether any Form 8862 is needed after asking about prior credit disallowances.

[ ] Validate sales-tax table alternative, wash-sale reporting, dividend holding periods, foreign-tax election, estimates, and all taxpayer/dependent names and SSNs.

[ ] Populate preparer/firm credentials, any IP PINs and signatures; obtain e-file authorization Form 8879. Form 8879 is retained by the ERO, not attached to the return.

[ ] Run 2024 tax-software diagnostics and compare all totals to this draft. After revisions, recalculate dependent credit limits, NIIT and tax worksheet as applicable. Approve payment instructions; confirm IRS payment history.

Senior reviewer: _____ Date: _____
Preparer / PTIN: _____ Review status: OPEN

Source inventory

WP-8 | Documents and rule references

Client document (uploaded filename without random prefix)	Primary use
COMPLETED_2024_Client_Intake_Form_-_Bob_and_Lisa_Smith.pdf	Identity, dependents, donations, educator expenses, elections
BOB_W2_COMPANY_X_edit.pdf	Bob wages and federal/FICA withholding
BOB_W2_COMPANY_Z_edit.pdf	Bob wages and federal/FICA withholding
LISA_W2_COMPRESS_MIDDLE_SCHOOL_edit.pdf	Lisa wages, retirement/health info and withholding
BOB_1099-INT.pdf	TX Lending Company $107.88 interest
BOB_1099-INT_Rose_Edit.pdf	Yellow Rose Bank $39.99 interest
LISA_1099-INT_Rose_edit.pdf	Yellow Rose Bank $968.22 interest
LISA_1099-DIV_edit.pdf	Dividends, REIT amount, foreign tax
BOB_1099-B_edit.pdf	Short-term covered sale
LISA_1099-B_edit.pdf	Long-term covered sale and wash adjustment
LISA_STUDENT_LOAN_INTEREST_edit.pdf	$4,312 interest; fully phased out
MORTGAGE_INTEREST_FORM.pdf	Mortgage interest and real estate taxes
Bob_Lisa_SMITH_LTC_PREMIUMS_PAID_2024.pdf	LTC premium comparison; no medical deduction
2024_Childcare_Statement.pdf	Provider data and child-by-child expenses
Bob_and_Lisa_2024_Estimated_Taxes_Paid.pdf	Four estimated payments and dates

IRS reference points - 2024 editions

Amounts are based on the 2024 rules; references below are provided for the senior's authoritative verification, not as a representation that online materials were retrieved during preparation.

Form 1040 instructions: standard deduction, educator/student-loan limits, tax rates and QD worksheet:
https://www.irs.gov/pub/irs-prior/i1040gi--2024.pdf

Schedule A instructions: sales-tax option, $10,000 SALT cap, age-based LTC limits:
https://www.irs.gov/pub/irs-prior/i1040sca--2024.pdf

Credit and deduction instructions:
https://www.irs.gov/pub/irs-prior/i2441--2024.pdf
https://www.irs.gov/pub/irs-prior/i1040s8--2024.pdf
https://www.irs.gov/pub/irs-prior/i8995--2024.pdf

Additional-tax and due-diligence instructions:
https://www.irs.gov/pub/irs-prior/i8959--2024.pdf | https://www.irs.gov/pub/irs-prior/i8960--2024.pdf
https://www.irs.gov/pub/irs-prior/i8867--2024.pdf | https://www.irs.gov/pub/irs-prior/i2210--2024.pdf